Table 1. Currency distribution of forex market turnover (percentage, total=200)

	1998	2001	2004	2007	2010	2013
US dollar	86.8	89.9	88.0	85.6	84.9	87.0
Pounds sterling	11.0	13.0	16.5	14.9	12.9	11.8
Deutschmark	30.5	--	--	--	--	--
French franc	5.0	--	--	--	--	--
Japanese yen	21.7	23.5	20.8	17.2	19.0	23.0
Euro	--	37.9	37.4	37.0	39.1	33.4
Mexican peso	0.5	0.8	1.1	1.3	1.3	2.5
Chinese yuan/RMB	0.0	0.0	0.1	0.5	0.9	2.2

Source: BIS Triennial Central Bank Survey

monarchical and authoritarian oil-producing states, which needed US protection even more, would invoice their oil exports in dollars. Large-scale governmental purchases of dollar instruments among key capitalist powers and the use of dollars in oil and arms trade accounted for the vast market liquidity of the currency, motivating private enterprises and other governments to use it for their reserves and trade settlement.

This geopolitical support of dollar hegemony remained unchallenged until the end of the Cold War, in the 1990s. With the Soviet bloc as a common security threat gone, regional powers used to being held hostage by the US security umbrella tried to break free of the US dollar-security nexus. The rise of the euro represented an explicit attempt to create a new currency rivalling the dollar. But Europe's continuous dependence on the US to defend its geopolitical interests, as shown by the Kosovo War in 1999, as well as the lack of centralised monetary authority and fiscal integration in the eurozone, has been undermining the ascendancy of the euro as a true alternative to the dollar.

In 2000–08, the dollar's credibility seemed to be threatened by an unprecedented simultaneous deterioration of the dollar value and US current account deficit. This simultaneous fall is largely attributable to the rise of China as a formidable low-cost exporter to the US. The rise of China's export sector was unleashed by a series of policy changes in the mid-1990s that precipitated an expanding stream of low-wage rural migrant labourers. Such an export-oriented path of growth was also facilitated by China's currency peg with the US that keeps Chinese exports competitively cheap in the world market.